

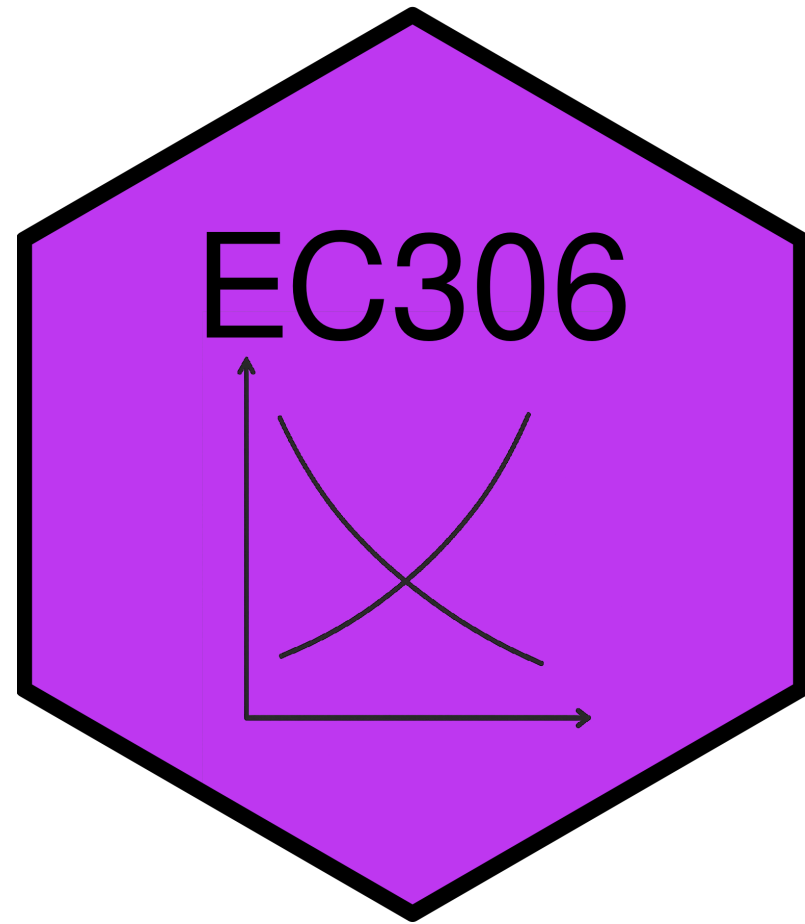
Labour Supply 3 In-Class Questions

EC306- Wages and Employment

Justin Smith

Wilfrid Laurier University

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BGLRS Chapter 4 Problem 1

The evaluation of the labour supply response to a tax cut can be quite different in a dynamic setting from what it is in a static setting. Discuss the relative impact of a permanent versus transitory tax cut on labour supply, and compare the analysis to the static model.

BGLRS Chapter 4 Problem 2

Consider the two-period dynamic labour supply model discussed in this chapter. What, if anything, happens to current labour supply if the interest rate rises from 2 percent to 10 percent?